5.17.5

(a) not to apply for any planning permission authorising a change of use of the Premises during the Initial Period;

(b) not to apply for any planning permission authorising a change of use of the Premises after the Initial Period unless the Landlord shall have consented to such a change of use (such consent not to be unreasonably withheld) or unless consent is not required due to the fact that the proposed use falls within the Permitted Use;

5.17.6 If and when called upon so to do to produce to the Landlord all such plans documents and other evidence as the Landlord may reasonably require in order to be satisfied that the provisions of this covenant have been complied with in all respects.

5.18 **Indemnity**

To indemnify the Landlord against all expenses proceedings costs claims damages demands and any other liability or consequence arising out or in respect of any breach of any of the Tenant's obligations under this lease or of any act omission or negligence of the Tenant or any person at the Premises expressly or impliedly with the Tenant's authority.

5.19 **Defective premises**

To give notice to the Landlord of any defect in the Premises which might give rise to:

5.19.1 an obligation on the Landlord to do or refrain from doing anything in relation to the Premises; or

5.19.2 any duty of care or the need to discharge such duty imposed by the Defective Premises Act 1972 or otherwise;

and at all times to display and maintain all notices which may from time to time be required to be displayed at the Premises in relation to their state of repair and condition.

5.20 **Yield up**

At the expiry of the Term to remove all chattels and (to the extent the Landlord may reasonably require) tenant's fixtures and quietly to yield up the Premises in the state of repair condition decorative order and layout required by this lease and any licences or consents issued in pursuance of it and to make good any damage so caused in a proper and workmanlike manner to the Landlord's reasonable satisfaction and to return all keys to the Landlord.

5.21 **Covenants**

To comply with all covenants stipulations and other matters affecting the Premises and not to interfere with any rights easements or other matters affecting the Premises including in such case but not limited to those contained or referred to in the

documents and deeds referred to in the registers of title number 139884, 239100 and 396768 (so far only as they affect the Premises).

5.22 **Insurance and Reinstatement**

5.22.1 To insure the Premises with an insurance company of repute and to ensure that the Landlord's interest is noted on the policy of insurance and keep them insured in an amount equal to the full cost of reinstatement or replacement including the cost of site clearance demolition and professional fees and VAT against damage or destruction by the Insured Risks.

5.22.2 To produce to the Landlord on demand (but not more often than once a year) a complete copy of the policy of insurance together with evidence that the policy of insurance has been effected in accordance with this clause and evidence that the current year's premium has been paid.

5.22.3 In the event of loss or damage by any of the Insured Risks:

(a) diligently to take such steps as may be requisite and proper to obtain any necessary permits and consents under any regulations or enactments for the time being in force to enable the Premises to be repaired rebuilt or reinstated;

(b) as soon as reasonably practicable after obtaining such permits and consents to rebuild and repair or otherwise reinstate the Premises to their former state in a good and substantial manner in accordance with all statutory requirements then in force and to the reasonable satisfaction in all respects of the Landlord causing all moneys received from the insurer by virtue of such insurance to be laid out for such purpose and if the moneys so received shall be insufficient for the purpose then to make good the deficiency out of the Tenant's own moneys.

5.22.4 To take out adequate insurance with an insurance company or underwriters of repute approved by the Landlord (such approval not to be unreasonably withheld) against third party and public liability unless such insurance is not available in the London insurance market.

5.22.5 The Tenant shall not do or omit to do anything which could cause any policy of insurance covering the Premises to become wholly or partly void or voidable.

5.23 **Illegality and Nuisance**

Not to use the Premises or any part thereof for any auction or any illegal or immoral purposes nor for any noxious offensive or dangerous trade or business purposes or for any public political or religious meetings and not to do on the Premises anything which is a nuisance or causes damage to the Landlord or to the owners tenants or occupiers of Adjoining Property and (without prejudice to the Tenant's obligations hereunder) to pay to the Landlord on demand all reasonable costs charges and expenses which may properly be incurred by the Landlord in abating a nuisance on or arising from the Premises and executing all such works as may be necessary for abating such a nuisance.

5.24 **Non-objection to building on other land**

Not to object under the provisions of the London Building Acts 1939-1982 and the Building Act 1984 or the London County Council (General Powers) Act 1954 or any other statutory enactment for the time being in force to the erection of a building or buildings of any height on any other lands in the ownership or control of the Landlord notwithstanding the loss thereby of light or air to the Premises.

5.25 **Regulations**

To observe and conform to and procure that all persons resorting to the Premises observe and conform to the Regulations.

## 6. LANDLORD'S COVENANTS

The Landlord covenants with the Tenant that the Tenant may peaceably hold and enjoy the Premises without any lawful interruption by the Landlord or any person rightfully claiming through under or in trust for it.

## 7. PROVISOS AGREEMENTS AND DECLARATIONS

Provided always and it is hereby agreed and declared that:

7.1 **Forfeiture and re-entry**

Without prejudice to any other remedies and powers contained in this lease or otherwise available to the Landlord if any of the Tenant's covenants in this lease are not performed or observed in the manner and at the times herein specified the Landlord may at any time thereafter (and notwithstanding the waiver of any previous right of re-entry) forfeit this Lease by re-entry whereupon this lease shall absolutely determine but without prejudice to either party's right of action in respect of any antecedent breach of the other party's covenants in this lease.

7.2 **Service of notices**

In addition to any other mode of service any notice to be served under this lease shall be validly served if served in accordance with section 196 Law of Property Act 1925 as amended by the Recorded Delivery Service Act 1962.

7.3 **No warranty as to use**

Nothing contained in this lease shall constitute or be deemed to constitute a warranty by the Landlord that the Premises are authorised under the Planning Acts to be used or are otherwise fit for any specific purpose.

7.4 **Construction (Design and Management) Regulations 1994**

7.4.1 In this clause:

(A) the expression **"Regulations"** means the Construction (Design and Management) Regulation 1994 and any expressions appearing in this

clause which are defined in the Regulations have the same meaning: and

(B) the expression **"relevant work"** means any construction work which is undertaken by the Tenant or by a person claiming under it pursuant to an obligation or a right (whether or not requiring the Landlord's consent) under this lease and for the purposes of the Regulations the Tenant irrevocably acknowledges that it, and not the Landlord, arranges the design, carrying out and construction of relevant work.

7.4.2 The Tenant irrevocably acknowledges that the Landlord will not be the client in respect of any relevant work.

7.4.3 Before any relevant work is commenced in respect of which the Tenant shall act as agent on behalf of the Landlord the Tenant shall make a declaration in accordance with Regulation 4(4) and shall forthwith serve it on the Health and Safety Executive and a copy of it on the Landlord.

7.4.4 Where appropriate the Tenant shall comply with its obligations as client in respect of any relevant work.

7.4.5 The Tenant shall promptly provide to the Landlord a full and complete copy of the health and safety file for all relevant work and (upon the expiry or sooner determination of this lease) the original health and safety file.

7.4.6 The provisions of this clause shall apply notwithstanding that any consent issued by the Landlord in respect of any relevant work does not refer to the said provisions or to the Regulations.

## 7.5 Restrictions on other property

Nothing herein contained or implied shall impose or be deemed to impose any restriction on the use of any land or buildings not comprised in this Lease or give the Tenant the benefit of or the right to enforce or have enforced or to prevent the release or modification of any covenant agreement or condition entered into by any purchaser from or any lessee tenant or occupier of the Landlord in respect of property not comprised in this Lease or to prevent or restrict in any way the development of any land not comprised in this Lease.

## 7.6 Building on other property

The Landlord shall have power at all times without obtaining any consent from or paying any compensation to the Tenant to deal as the Landlord may think fit with any property not comprised in this Lease and to erect or suffer to be erected on any such property any buildings whatsoever whether such buildings shall or shall not affect or diminish the light or air which may now or at any time during the Term be enjoyed by the Tenant or any tenants or occupiers of the Premises or any part thereof.

### 7.7 Effect of waiver

Each of the Tenant's Covenants shall remain in full force both in law and in equity notwithstanding that the Landlord shall have waived or released temporarily any such covenant or waived or released temporarily or permanently revocably or irrevocably a similar covenant or similar covenants affecting Adjoining Property belonging to the Landlord.

## 8. GUARANTEE

### 8.1 Covenant and indemnity by Guarantor

The Guarantor covenants with the Landlord as a primary obligation that the Tenant or the Guarantor shall at all times during the Term (including any continuation or renewal of this Lease) duly perform and observe all the covenants on the part of the Tenant contained in this Lease including the payment of the Rent and all other sums payable under this Lease in the manner and at the times specified in this Lease.

### 8.2 Guarantor's liability

The Guarantor further covenants with the Landlord as a primary obligation that the Guarantor shall be liable (whether before or after any disclaimer by a liquidator or trustee in bankruptcy) for the fulfilment of all the obligations of the Tenant under this Lease and agrees that the Landlord in the enforcement of its rights under this Lease may proceed against the Guarantor as if the Guarantor was named as the Tenant in this Lease.

### 8.3 Waiver by Guarantor

The Guarantor waives any right to require the Landlord to proceed against the Tenant or to pursue any other remedy whatsoever which may be available to the Landlord before proceeding against the Guarantor.

### 8.4 Postponement of claims by Guarantor against Tenant

The Guarantor further covenants with the Landlord that the Guarantor shall:

8.4.1 not claim in any liquidation bankruptcy composition or arrangement of the Tenant in competition with the Landlord;

8.4.2 hold for the benefit of the Landlord all security and rights the Guarantor may have over assets of the Tenant whilst any liabilities of the Tenant or the Guarantor to the Landlord remain outstanding; and not exercise any right or remedy in respect of any amount paid or any liability incurred by the Guarantor in performing or discharging its obligations contained in this Schedule or claim any contribution from any other guarantor.

### 8.5 Postponement of participation by Guarantor in security

The Guarantor shall not be entitled to participate in any security held by the Landlord in respect of the Tenant's obligations to the Landlord under this Lease or to stand in the place of the Landlord in respect of any such security until all the obligations of the

Tenant or the Guarantor to the Landlord under this Lease have been performed or discharged.

8.6 **No release of Guarantor**

None of the following or any combination of them shall release determine discharge or in any way lessen or affect the liability of the Guarantor as principal obligor under this Lease or otherwise prejudice or affect the right of the Landlord to recover from the Guarantor to the full extent of this guarantee:

8.6.1 any neglect delay or forbearance of the Landlord in endeavouring to obtain payment of the Rent or the amounts required to be paid by the Tenant or in enforcing the performance or observance of any of the obligations of the Tenant under this Lease;

8.6.2 any refusal by the Landlord to accept rent tendered by or on behalf of the Tenant at a time when the Landlord was entitled (or would after the service of a notice under Section 146 of the Law of Property Act 1925 have been entitled) to re-enter the Premises;

8.6.3 any extension of time given by the Landlord to the Tenant;

8.6.4 any variation of the terms of this Lease or the transfer of the Landlord's reversion or the assignment of this Lease;

8.6.5 any change in the constitution structure or powers of either the Tenant the Guarantor or the Landlord or the liquidation administration or bankruptcy (as the case may be) of either the Tenant or the Guarantor;

8.6.6 any legal limitation or any immunity disability or incapacity of the Tenant (whether or not known to the Landlord) or the fact that any dealings with the Landlord by the Tenant may be outside or in excess of the powers of the Tenant;

8.6.7 any other act omission matter or thing whatsoever as a result of which but for this provision the Guarantor would be exonerated either wholly or partly (other than a release executed and delivered as a deed by the Landlord).

8.7 **Disclaimer or forfeiture of lease**

The Guarantor further covenants with the Landlord that:

8.7.1 if a liquidator or trustee in bankruptcy shall disclaim or surrender this Lease; or

8.7.2 if this Lease shall be forfeited; or

8.7.3 if the Tenant shall cease to exist

the Guarantor shall if the Landlord by notice in writing given to the Guarantor within six months after such disclaimer or other event so requires accept from and execute and deliver to the Landlord a counterpart of a new lease of the Premises for a term

commencing on the date of the disclaimer or other event and continuing for the residue then remaining unexpired of the Term such new lease to be at the cost of the Guarantor and to be at the same Rents and subject to the same covenants and provisions as are contained in this Lease.

8.8 **Guarantor to pay sum equal to rents**

If the Landlord shall not require the Guarantor to take a new lease pursuant to paragraph 8.7 the Guarantor shall nevertheless upon demand pay to the Landlord a sum equal to the Rent and other sums that would have been payable under this Lease but for the disclaimer or other event in respect of the period from and including the date of such disclaimer or other event until the expiration of six months from such date or until the Landlord shall have granted a lease of the Premises to a third party (whichever shall occur first).

8.9 **Benefit of guarantee**

This guarantee shall enure for the benefit of the successors and assigns of the Landlord under this Lease without the necessity for any assignment.

## 9. NEW TENANCY

This lease is a new tenancy for the purposes of the Landlord and Tenant (Covenants) Act 1995.

## 10. CONTRACTS (RIGHTS OF THIRD PARTIES) ACT 1999

A person who is not a party to this Lease shall have no right under the Contract (Rights of Third Parties) Act 1999 to enforce any term of this Lease. This clause does not affect any right or remedy of any person which exists or is available otherwise than pursuant to that Act.

## 11. JURISDICTION

This lease shall be governed by and construed in accordance with English law.

**IN WITNESS** whereof this Deed has been executed by the parties hereto and is intended to be and is hereby delivered on the date first above written.

## SCHEDULE 1

## (The Premises)

ALL THOSE Premises forming part of the title numbers 139884, 239100 and 396768 forming part of the Bank of England Sports Ground at Roehampton London SW15 5XZ as the same is shown edged red on Plan 1 together with any buildings now or hereafter erected thereon and all additions alterations and improvements thereto which may be carried out during the Term.

PLAN 1

Records Office

Pavilion

Sports Hall

BANK LANE

DOMESHELL CLOSE

Icehouse

Priory Lodge

Priory Lane

9.5m

12.4m

14.7m

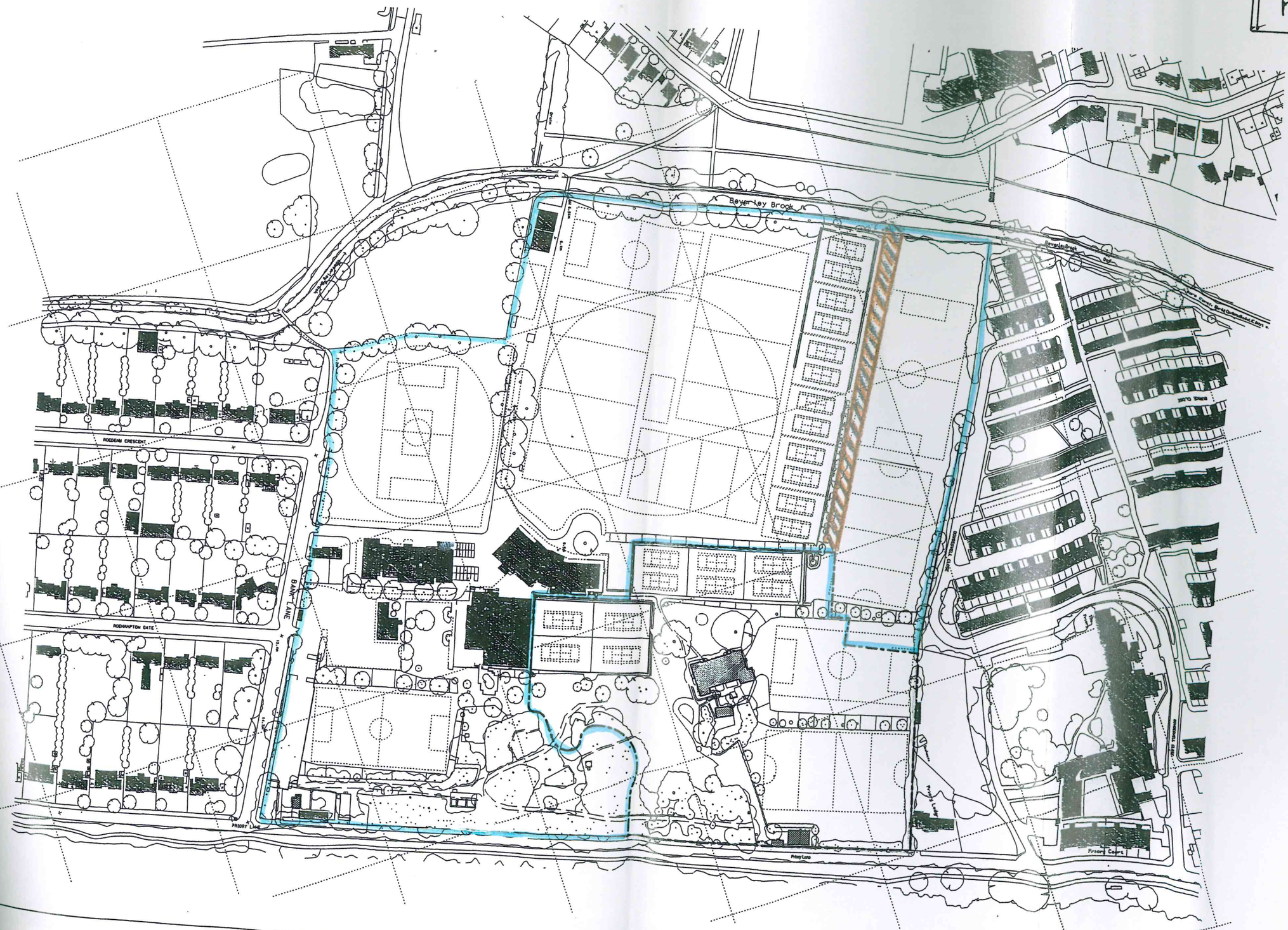
| Information | Tender | Briefing | Construction | Work Package |
|---|---|---|---|---|
| | | | | |

| Information | Tender | Briefing | Construction | Date | Ref. | Revision |
|---|---|---|---|---|---|---|
| | | | | | | |

| Date | Ref. | Revision |
|---|---|---|
| | | |

| | |
|---|---|
| Project | The Lawn Tennis Association |
| Subject | Site Plan |
| Scale | 1:1250 |
| Date | |

PLAN 2




| Briefing | Construction | Work Package | Information | Tender | Briefing | Construction | Date | Ref. | Revision |
|---|---|---|---|---|---|---|---|---|---|
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| Date | Ref. | Revision |
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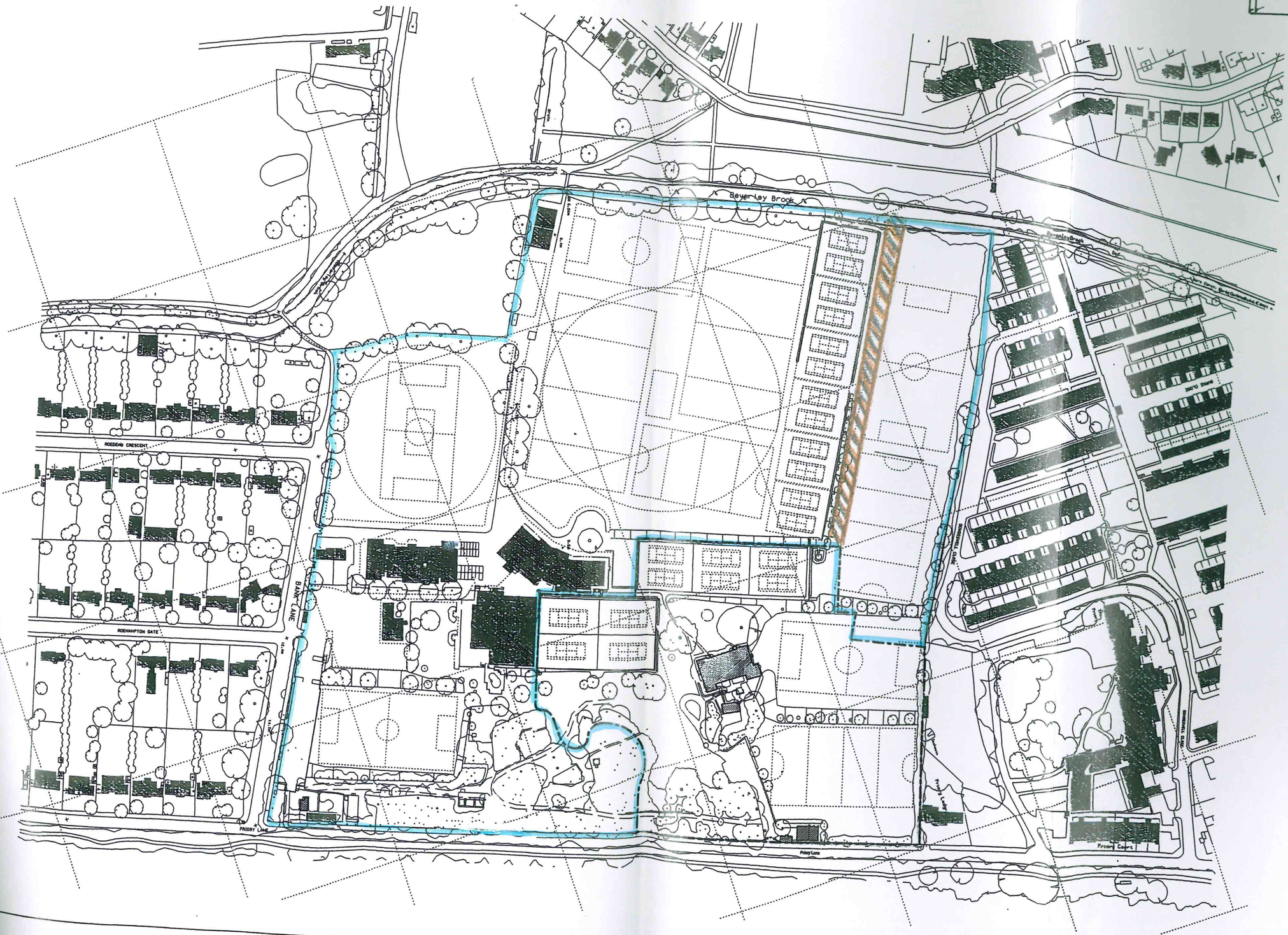
Project The Lawn Tennis Association

PLAN 2




| Briefing | Construction | Work Package | Information | Tender | Briefing | Construction | Date | Ref. | Revision |
|---|---|---|---|---|---|---|---|---|---|
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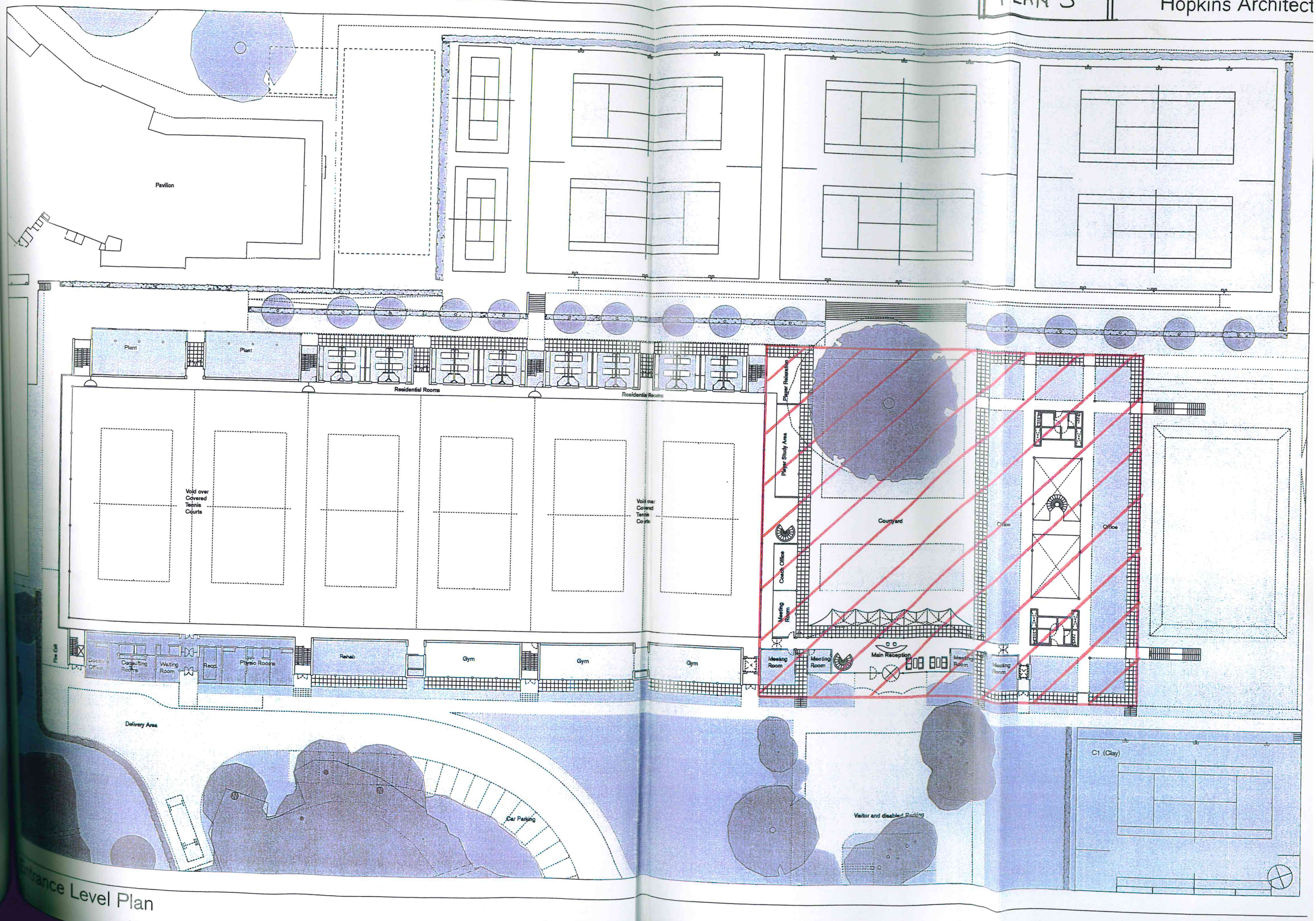
| Date | Ref. | Revision |
|---|---|---|
| | | |

Project The Lawn Tennis Association

PLAN 3



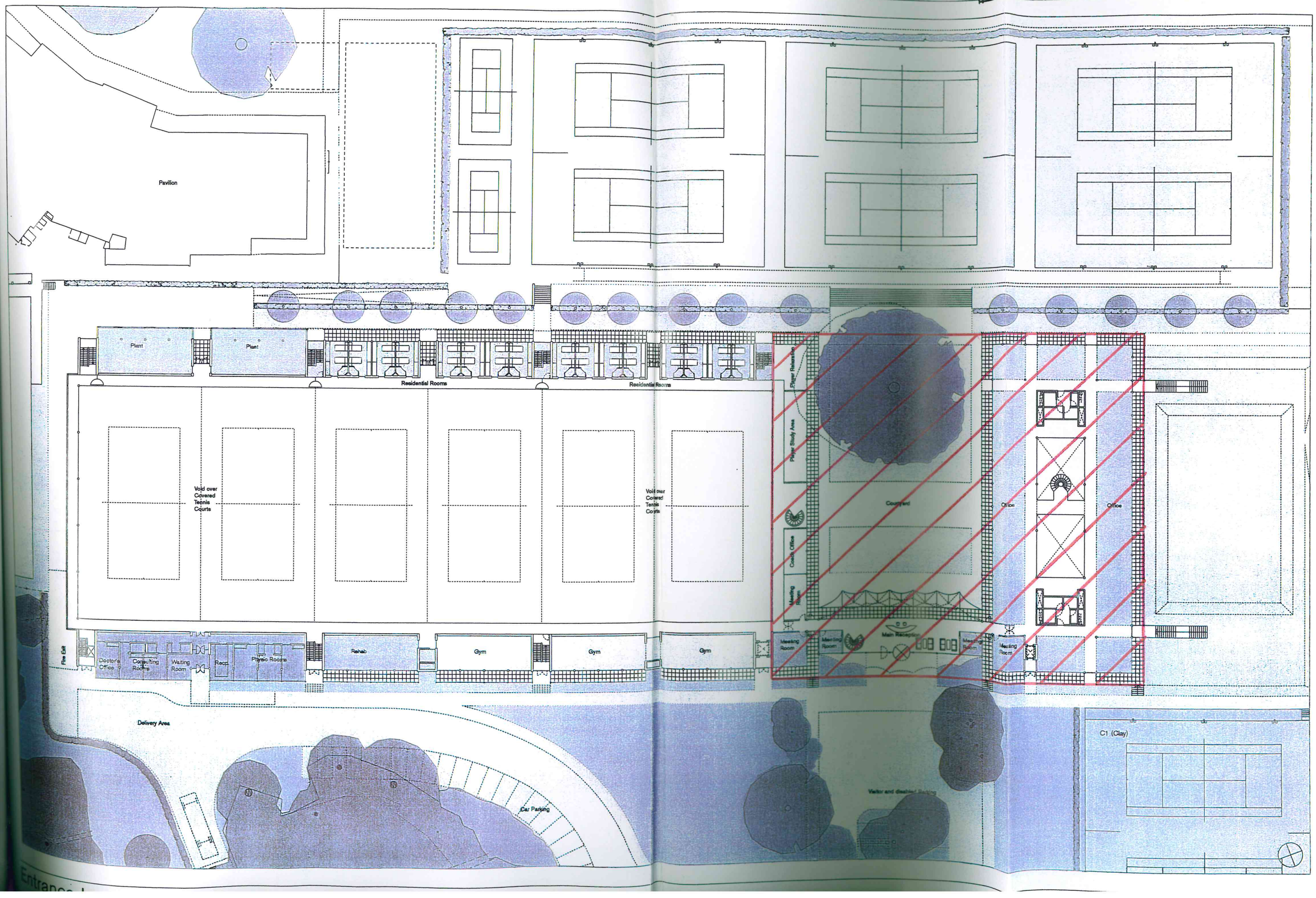



Entrance Level Plan

April 2003

PLAN 3




Pavilion
Plant
Plant
Residential Rooms
Residential Rooms
Void over Covered Tennis Courts
Void over Covered Tennis Courts
Player Retention
Player Study Area
Coach Office
Meeting Room
Courtyard
Office
Office
Meeting Room
Meeting Room
Meeting Room
Main Reception
Fire Exit
Doctor's Office
Consulting Rooms
Waiting Room
Recpt
Physio Rooms
Rehab
Gym
Gym
Gym
Delivery Area
Car Parking
Visitor and disabled Parking
C1 (Clay)

## SCHEDULE 2

## (The Retained Land)

The land and all buildings as may from time to time be erected thereon known as The Bank of England Sports Ground Roehampton as the same is shown for identification only edged blue on Plan 2 the Landlord's freehold title to which (together with the Premises) is registered at H.M. Land Registry with title nos. 139884, 239100 and 396768.

## SCHEDULE 3

## (Easements and Rights Granted)

1. The right to install and use a new surface water drain (and to renew and replace such drain from time to time) under that part of the Retained Land shown hatched brown on Plan 2 for the passage of surface water from the Premises subject to the Tenant repairing, maintaining, replacing, renewing and cleaning such surface water drain

2. The right to enter the Retained Land and break up the surface of the land hatched brown on Plan 2 for the purpose of repairing, maintaining, replacing, renewing and cleaning such surface water drain, subject to the Tenant

2.1 causing as little inconvenience as practicable to the Landlord and its occupiers in the exercise of the rights;

2.2 except in case of emergency, carrying out any works required in accordance with a programme of works, plans and specifications previously approved by the Landlord, such approval not to be unreasonably withheld or delayed;

2.3 making good as soon as reasonably practicable and at the Tenant's cost all damage caused to the Retained Land to the reasonable satisfaction of the Landlord;

2.4 permitting the Landlord to accompany those exercising the rights.

3. The right of way in common with the Landlord and any other occupiers of the Retained Land and those authorised by them with or without vehicles in emergency and for maintenance over and along the access ways shown coloured yellow on Plan 1 for the purpose only of access to plant rooms maintenance and in emergencies and for occasional deliveries and on foot only for pedestrian access.

4. All rights of support protection and shelter as are now enjoyed by the Premises over or in respect of the Retained Land

5. The right to erect scaffolding on the accessway shown coloured yellow and orange on Plan 1 for the purpose of repairing maintaining renewing or replacing buildings on the Premises notwithstanding temporary interference with the right of

way specified in paragraph 4 of Schedule 4 and subject to the Tenant keeping such interference to a minimum.

## SCHEDULE 4

### (Exceptions and Reservations)

1. All rights of light air support protection and shelter and all other rights and easements which now belong to or are enjoyed by the Retained Land over or in respect of the Premises.

2. The right at reasonable times on reasonable prior notice (except in an emergency) to enter upon the Premises as often as may be necessary for all the purposes for which the Tenant covenants in this Lease to permit entry.

3. Unless and to the extent diverted from the Premises the full and free right to the passage of services from and to the Retained Land through any pipes drains cables and other conducting media as now existing on in or under the Premises together with the right to connect into such pipes drains cables and other conducting media and the right to enter the Premises and break up the surface of the land for the purpose of repairing maintaining replacing renewing and cleaning and connecting into such media subject to the Landlord

3.1 causing as little inconvenience as practicable to the Tenant in the exercise of these rights

3.2 except in case of emergency, carrying out any works required in accordance with a programme of works, plans and specifications previously approved by the Tenant, such approval not to be unreasonably withheld or delayed;

3.3 making good as soon as reasonably practicable and at the Landlord's cost all damage caused to the Premises to the reasonable satisfaction of the Tenant

3.4 permitting the Tenant to accompany those exercising the rights.

4. The right of way in common with the Tenant and any other occupiers of the Premises and those authorised by them with or without emergency vehicles over and along the accessway shown coloured orange on Plan 1 for the purpose only of emergency access.

5. The right to erect scaffolding on the accessway shown coloured yellow and orange on Plan 1 for the purpose of repairing maintaining renewing or replacing buildings on the Retained Land notwithstanding temporary interference with the right of way specified in paragraph 3 of Schedule 3 and subject to the Landlord keeping such interference to a minimum.

6. The right without obtaining consent from or making compensation to the Tenant to deal as the Landlord thinks fit with the Retained Land and to carry out

works thereon or thereto notwithstanding that the enjoyment or the access of light and air to the Premises may be interfered with.

**[On Original]**

**THE COMMON SEAL** of )
**THE GOVERNOR AND COMPANY** )
**OF THE BANK OF ENGLAND** )
was hereunto affixed in the )
presence of )

**[On Counterpart]**

**EXECUTED** as a deed by )
**[Tenant]** )
acting by two directors: )

Director

Director

**THE COMMON SEAL** of )
**THE ALL ENGLAND LAWN TENNIS** )
**GROUND PLC** was hereunto affixed )
in the presence of: )]

## SCHEDULE 3

**(See separate bundle)**

I
THE PLANNING APPLICATION

II
PLANS AND SPECIFICATIONS

III
FOOTPATH PLAN

IV
LANDLORD'S KEY WORKS SPECIFICATION

## SCHEDULE 4

## ADVERSE CONDITIONS

1. Subject always to paragraph 4 of this Schedule, an Adverse Condition is one which would

1.1 prevent the Landlord constructing or using the Landlord's Key Works substantially in accordance with the Landlord's Key Works Specification; and/or

1.2 adversely affect the value of the Retained Land by imposing restrictions on the Retained Land which limit the Landlord's right to enjoy occupy use or develop the Retained Land so as to reduce the Open Market Value (as defined in this Schedule) by more than 10%; and/or

1.3 make the use or enjoyment of the Retained Land personal to a particular person or body or group; and/or

1.4 require an element of community use of or community access to the Retained Land greater than that currently enjoyed (as detailed in the letter dated 6 June 2003 attached to this agreement at Schedule 7); and/or

1.5 unreasonably require associated works to be done or facilities to be provided before the Landlord's Key Works can be occupied or used; and/or

1.6 materially restrict or prohibit the use of the Landlord's Key Works between the hours of 8 a.m. and 10 p.m. on any day of the week; and/or

1.7 in the Landlord's reasonable opinion adversely affect the Landlord's interest in the Retained Land but does not adversely affect value or otherwise fall within 1.1 to 1.6 above.

2. Open Market Value shall be determined as at the date of the Landlord's Notice as being the best price at which the sale of the Landlord's interest in the Retained Land would have been completed unconditionally for cash consideration on such date, assuming:

(i) a willing seller

(ii) that the state of the market, level of values and other circumstances were, on any earlier assumed date of exchange of contracts, the same as on the date of valuation;

(iii) that no account is taken of any additional bid by a prospective purchaser with a special interest; and

(iv) that both parties to the transaction had acted knowledgeably, prudently and without compulsion.

3. Open Market Value shall be assessed on the alternative assumptions that

Planning Permission would be granted (i) without and (ii) with the relevant Condition, to establish the amount (if any) by which the value of the Retained Land would be reduced by the relevant Condition.

4. A condition which is referred to in or contemplated by the Planning Application or any supporting documents shall not be an Adverse Condition.



## SCHEDULE 5

## THE SUBJECTIONS

The matters contained or referred to in the Property and Charges Register of Title Numbers 139884, 239100 and 396768 so far as the same affect the Premises and are still subsisting and capable of taking effect and being enforced

## SCHEDULE 6

## THE PRE-EMPTION AGREEMENT

DATE _____ 200[ ]

**THE GOVERNOR AND COMPANY OF THE BANK OF ENGLAND**

**[LTA GROUND LIMITED]**

**and**

**THE ALL ENGLAND LAWN TENNIS GROUND PLC**

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# PRE-EMPTION AGREEMENT
**relating to part of the Bank of England Sports Ground Roehampton**

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Eversheds LLP
Senator House
85 Queen Victoria Street
London EC4V 4JL

Tel: 020 7919 45100
Fax: 020 7919 4919

LC1060090

**THIS AGREEMENT** is made the day of 2003

**BETWEEN**

(1) **THE GOVERNOR AND COMPANY OF THE BANK OF ENGLAND** of Threadneedle Street London EC2R 8AH ("the Landlord")

*(2)* **[LTA GROUND LIMITED]** (Company Number [ ]) whose registered office is at The Queens Club Palliser Road West Kensington London W14 9EG ***NOTE: NAME, COMPANY NUMBER AND ADDRESS TO BE THAT OF THE TENANT UNDER THE LEASE*** ("the Tenant")

(3) **THE ALL ENGLAND LAWN TENNIS GROUND PLC** the registered office of which is at Hill House 1 Little New Street, London EC4A 3TR (Company Registration No. 168491) ("the Guarantor")

**WHEREBY IT IS AGREED** as follows:

## PART 1: GENERAL PROVISIONS

### 1. Defined Terms and Interpretation

1.1 In this agreement, the following words and expressions have the following meanings:

| | |
|---|---|
| **"Acceptance Period"** | the period of twenty working days from and including the date of the Offer Notice unless extended under **clause 10.4**. |
| **"Additional Lease"** | a lease of the Relevant Property granted pursuant to this Agreement in the form of the annexed draft at Open Market Price. |
| **"Disposal"** | has the meaning given to it in **clause 8** and **"Dispose"** and **"Disposed"** have a corresponding meaning |
| **"Disposal Period"** | the period of 1 year from and including the date of the Offer Notice |
| **"End Date"** | the date of expiration of 21 years from the date of this agreement |
| **"Lease"** | the lease of even date made between the same parties |

parties

**"Offer"** an offer made by the Landlord to grant an Additional Lease of the Property to the Tenant under **clause 9**

**"Offer Notice"** a notice in the form set out in the Schedule

**"Open Market Price"** the price at which the grant of the Additional Lease would have been completed at the date of the Offer Notice unconditionally for cash consideration, assuming:

(i) a willing Landlord and a willing tenant

(ii) that, prior to the date of valuation, there had been a reasonable period (having regard to the nature of the property and the state of the market) for the proper marketing of the interest, for the agreement of the price and terms and for the completion of the grant of the Additional Lease;

(iii) that the state of the market, level of values and other circumstances were, on any earlier assumed date of exchange of contracts, the same as on the date of valuation;

(iv) that no account is taken of any additional bid by a prospective purchaser with a special interest; and

(v) that both parties to the transaction had acted knowledgeably, prudently and without compulsion.

(vi) that the Property (being the Premises to be demised by the Additional Lease) comprises a bare site devoid of

| | |
|---|---|
| | buildings, structures or infrastructure |
| **"Pre-Emption Fee"** | One Pound |
| **"Pre-Emption Right"** | the right granted by the Landlord to the Tenant in **clause 2.1** and defined in **clause 2.2** |
| **"Principal Agreement"** | an Agreement for Lease dated the [ ] day of [ ] 2003 made between (1) the Landlord (2) [LTA Ground Limited] [the Tenant] and (3) the Guarantor |
| **"Property"** | the land (being part of the Retained Land as defined by the Principal Agreement) shown edged red on the plan annexed to this agreement |

1.2 Except to the extent that they are expressly varied by this agreement, the provisions of the Principal Agreement relating to its interpretation apply to this agreement with any variations necessary

1.3 Except to the extent that they are expressly varied by this agreement, the provisions of the Principal Agreement relating to its interpretation apply to this agreement with any variations necessary to make them applicable to the Property.

1.4 The parties to this agreement do not intend that any of its terms will be enforceable by virtue of the Contracts (Rights of Third Parties) Act 1999 by any person not a party to it.

## 2. Grant of the Pre-Emption Right

2.1 In consideration of the Pre-Emption Fee, which the Landlord has received, the Landlord grants to the Tenant the Pre-Emption Right.

2.2 The Pre-Emption Right confers on the Tenant the right to acquire an Additional Lease of the Property at the Open Market Price following the service of an Offer Notice by the Landlord on the Tenant.

2.3 The obligation to complete the grant and taking of an Additional Lease in the Property is conditional on the Tenant exercising the Pre-Emption Right following the service of an Offer Notice by the Landlord on the Tenant.

2.4 **Clause 2.3** does not affect the obligations of the Landlord and the Tenant to comply with the remaining provisions of this Agreement and the Principal Agreement.

2.5 This Agreement will end at 5.00 pm on the End Date unless the Landlord has served an Offer Notice on the Tenant which is capable of being accepted by the Tenant after the End Date, in which case:

2.5.1 if the Tenant accepts the Offer Notice in accordance with **clause 10**, this Agreement will not end;

2.5.2 if the Tenant rejects the Offer Notice, this Agreement will end at 5.00 pm on the date on which the Office Notice is rejected; or

2.5.3 if the Tenant fails to respond to the Offer Notice in accordance with **clause 10**, this Agreement will end at 5.00 pm on the last day of the Acceptance Period.

2.6 The Tenant may serve notice in writing on the Landlord at any time before the acceptance of a Offer Notice, specifying that the Tenant does not wish to exercise the Pre-Emption Right. On the service of notice under this **clause 2.6**, this Agreement will end.

3. **Stamp Duty Certificate**

It is certified that the transaction effected by this Agreement does not form part of a larger transaction or series of transactions in respect of which the amount or value or the aggregate amount or value of the consideration exceeds £60,000 .

4. **Completion**

4.1 The Completion Date is to be 15 working days after the acceptance of an Offer under **clause 10.1**.

5. **Registration of the Pre-Emption Right**

5.1 Within ten working days after the date of this Agreement, the Landlord is to deposit the land certificate relating to the Title Number 396768 at HM Land Registry to meet the application to be made by the Tenant under **clause 5.2**. On receipt of the deposit number allocated by HM Land Registry, the Landlord is to notify the Tenant in writing of the deposit number.

5.2 Within ten working days of the date of this Agreement, the Tenant is to make an application to HM Land Registry to register a restriction on the Proprietorship Register of the Title Number in the following form:

DATE _____ 200[ ]

**THE GOVERNOR AND COMPANY OF THE BANK OF ENGLAND**

**[LTA GROUND LIMITED]**

**and**

**THE ALL ENGLAND LAWN TENNIS GROUND PLC**

---

# PRE-EMPTION AGREEMENT
**relating to part of the Bank of England Sports Ground Roehampton**

---

Eversheds LLP
Senator House
85 Queen Victoria Street
London EC4V 4JL

Tel: 020 7919 45100
Fax: 020 7919 4919

LC1060090

**THIS AGREEMENT** is made the day of 2003

**BETWEEN**

(1) **THE GOVERNOR AND COMPANY OF THE BANK OF ENGLAND** of Threadneedle Street London EC2R 8AH ("the Landlord")

*(2)* **[LTA GROUND LIMITED]** (Company Number [ ]) whose registered office is at The Queens Club Palliser Road West Kensington London W14 9EG ***NOTE: NAME, COMPANY NUMBER AND ADDRESS TO BE THAT OF THE TENANT UNDER THE LEASE*** ("the Tenant")

(3) **THE ALL ENGLAND LAWN TENNIS GROUND PLC** the registered office of which is at Hill House 1 Little New Street, London EC4A 3TR (Company Registration No. 168491) ("the Guarantor")

**WHEREBY IT IS AGREED** as follows:

## PART 1: GENERAL PROVISIONS

### 1. Defined Terms and Interpretation

1.1 In this agreement, the following words and expressions have the following meanings:

| | |
|---|---|
| **"Acceptance Period"** | the period of twenty working days from and including the date of the Offer Notice unless extended under **clause 10.4**. |
| **"Additional Lease"** | a lease of the Relevant Property granted pursuant to this Agreement in the form of the annexed draft at Open Market Price. |
| **"Disposal"** | has the meaning given to it in **clause 8** and **"Dispose"** and **"Disposed"** have a corresponding meaning |
| **"Disposal Period"** | the period of 1 year from and including the date of the Offer Notice |
| **"End Date"** | the date of expiration of 21 years from the date of this agreement |
| **"Lease"** | the lease of even date made between the same parties |

parties

**"Offer"** an offer made by the Landlord to grant an Additional Lease of the Property to the Tenant under **clause 9**

**"Offer Notice"** a notice in the form set out in the Schedule

**"Open Market Price"** the price at which the grant of the Additional Lease would have been completed at the date of the Offer Notice unconditionally for cash consideration, assuming:

(i) a willing Landlord and a willing tenant

(ii) that, prior to the date of valuation, there had been a reasonable period (having regard to the nature of the property and the state of the market) for the proper marketing of the interest, for the agreement of the price and terms and for the completion of the grant of the Additional Lease;

(iii) that the state of the market, level of values and other circumstances were, on any earlier assumed date of exchange of contracts, the same as on the date of valuation;

(iv) that no account is taken of any additional bid by a prospective purchaser with a special interest; and

(v) that both parties to the transaction had acted knowledgeably, prudently and without compulsion.

(vi) that the Property (being the Premises to be demised by the Additional Lease) comprises a bare site devoid of



LC1060090

buildings, structures or infrastructure

| | |
|---|---|
| **"Pre-Emption Fee"** | One Pound |
| **"Pre-Emption Right"** | the right granted by the Landlord to the Tenant in **clause 2.1** and defined in **clause 2.2** |
| **"Principal Agreement"** | an Agreement for Lease dated the [ ] day of [ ] 2003 made between (1) the Landlord (2) [LTA Ground Limited] [the Tenant] and (3) the Guarantor |
| **"Property"** | the land (being part of the Retained Land as defined by the Principal Agreement) shown edged red on the plan annexed to this agreement |

1.2 Except to the extent that they are expressly varied by this agreement, the provisions of the Principal Agreement relating to its interpretation apply to this agreement with any variations necessary

1.3 Except to the extent that they are expressly varied by this agreement, the provisions of the Principal Agreement relating to its interpretation apply to this agreement with any variations necessary to make them applicable to the Property.

1.4 The parties to this agreement do not intend that any of its terms will be enforceable by virtue of the Contracts (Rights of Third Parties) Act 1999 by any person not a party to it.

2. **Grant of the Pre-Emption Right**

2.1 In consideration of the Pre-Emption Fee, which the Landlord has received, the Landlord grants to the Tenant the Pre-Emption Right.

2.2 The Pre-Emption Right confers on the Tenant the right to acquire an Additional Lease of the Property at the Open Market Price following the service of an Offer Notice by the Landlord on the Tenant.

2.3 The obligation to complete the grant and taking of an Additional Lease in the Property is conditional on the Tenant exercising the Pre-Emption Right following the service of an Offer Notice by the Landlord on the Tenant.

2.4 **Clause 2.3** does not affect the obligations of the Landlord and the Tenant to comply with the remaining provisions of this Agreement and the Principal Agreement.

2.5 This Agreement will end at 5.00 pm on the End Date unless the Landlord has served an Offer Notice on the Tenant which is capable of being accepted by the Tenant after the End Date, in which case:

2.5.1 if the Tenant accepts the Offer Notice in accordance with **clause 10**, this Agreement will not end;

2.5.2 if the Tenant rejects the Offer Notice, this Agreement will end at 5.00 pm on the date on which the Office Notice is rejected; or

2.5.3 if the Tenant fails to respond to the Offer Notice in accordance with **clause 10**, this Agreement will end at 5.00 pm on the last day of the Acceptance Period.

2.6 The Tenant may serve notice in writing on the Landlord at any time before the acceptance of a Offer Notice, specifying that the Tenant does not wish to exercise the Pre-Emption Right. On the service of notice under this **clause 2.6**, this Agreement will end.

3. **Stamp Duty Certificate**

It is certified that the transaction effected by this Agreement does not form part of a larger transaction or series of transactions in respect of which the amount or value or the aggregate amount or value of the consideration exceeds £60,000 .

4. **Completion**

4.1 The Completion Date is to be 15 working days after the acceptance of an Offer under **clause 10.1**.

5. **Registration of the Pre-Emption Right**

5.1 Within ten working days after the date of this Agreement, the Landlord is to deposit the land certificate relating to the Title Number 396768 at HM Land Registry to meet the application to be made by the Tenant under **clause 5.2**. On receipt of the deposit number allocated by HM Land Registry, the Landlord is to notify the Tenant in writing of the deposit number.

5.2 Within ten working days of the date of this Agreement, the Tenant is to make an application to HM Land Registry to register a restriction on the Proprietorship Register of the Title Number in the following form:

*"Except under an Order of the Registrar, no disposition of the land edged red on the Plan to an agreement [add date and parties to this agreement] is to be registered without a certificate from the Tenant or the Tenant's Solicitors or the Landlord's solicitors certifying that the disposition is made in accordance with the terms of that Agreement."*

5.3 The Tenant is to consent to the registration of a disposition of the Property by the Landlord while the restriction remains on the proprietorship registers of the Title Numbers if:

5.3.1 the disposition does not infringe the Pre-Emption Right;

5.3.2 the disposition is made under **clause 11.2**; or

5.3.3 the Pre-Emption Right has come to an end in accordance with **clause 2.5** and the restriction has not been removed from the register in accordance with **clause 6.1**.

5.4 The Landlord agrees with the Tenant that the Landlord will procure that its solicitors will only issue a certificate under clause 5.2 properly and in accordance with this agreement

6. **Termination**

6.1 If this Agreement ends, the Tenant is at its own expense to request HM Land Registry to remove any notice, caution or restriction made against the Property in respect of this Agreement.

6.2 The provisions of **clause 6.1** will survive the ending of this Agreement.

6.3 The ending of this Agreement is to be without prejudice to any claims, liabilities or rights of the Landlord or the Tenant existing at the date on which the Agreement ends.

7. **Restriction on Disposals**

7.1 The Landlord is not to sell let transfer part with or share possession or occupation of the Property or of any freehold or leasehold interest in it or of any part of the Property or enter into any agreement to do so except in relation to a Disposal made on the terms of this Agreement.

7.2 The Landlord may not create any encumbrance over the Property or any part of it without the consent of the Tenant.

7.3 An encumbrance includes, without limitation, any easement, restrictive covenant, lease or other right of occupation use or enjoyment of the whole or any part of the Property.

7.4 The Landlord may not make a Disposal without first carrying out the procedure in **clause 9**.

7.5 If the Landlord has carried out the procedure in **clause 9** and the Tenant either rejects the Offer Notice or does not respond to the Offer Notice within the Acceptance Period, the Landlord may Dispose of the Property within the Disposal Period, and on the making of such a Disposal, the Pre-emption Right will come to an end.

7.6 If the Landlord has not Disposed of the Property during the Disposal Period this agreement shall continue and the Pre-Emption procedure in this agreement may be invoked any number of times as may be required prior to the End Date.

8. **Disposal**

8.1 For the purposes of this agreement, a Disposal is one or more of the following:

8.1.1 a sale or exchange of the freehold interest of the Property; or

8.1.2 the grant of a lease, or an agreement for lease, at a premium or reserving less than the market rent or any other agreement or arrangement the intention of which is to realise capital value from the Property

8.2 A Disposal includes any arrangement to the same or similar effect as one specified in **clause 8.1**.

8.3 A Disposal is to be treated as taking place when a binding agreement for the Disposal is entered into unless the agreement is conditional on the Tenant rejecting or failing to exercise the Pre-Emption Right.

9. **Pre-Emption Procedure**

9.1 Prior to the Landlord marketing the Property or any part of it the Landlord shall consult with the Tenant with a view to agreeing terms upon which the Tenant might take an Additional Lease of the Property and if the Landlord and the Tenant are unable to reach agreement the Landlord may market the same

9.2 Before the Landlord makes a Disposal, the Landlord must offer to grant the Additional Lease of the Property to the Tenant by serving an Offer Notice on the Tenant in the form set out in the Schedule.

9.3 Immediately after service of the Offer Notice the Landlord will deduce title to the Property to the Tenant in accordance with section 110 of the Land Registration Act 1925 with office copies of the relevant documents which shall be accompanied by replies to the standard preliminary enquiries and other relevant documentation in the form then appropriate for and subject to which the Additional Lease is to be granted.

9.4 The Landlord is not entitled to vary or add to the terms of the Offer, and the Offer is to be irrevocable during the Acceptance Period.

9.5 During the Acceptance Period the Landlord is to use all reasonable endeavours to provide

9.5.1 replies to any additional written pre-contract enquiries raised by the Tenant's Solicitors in relation to the Property

9.5.2 replies to any written requisitions on title raised by the Tenant's Solicitors in relation of the Property

9.6 The Landlord and the Tenant agree to act in good faith to do all things which may be necessary to ensure that the agreement effected by the exercise of the Pre-Emption Right constitutes an enforceable contract for the grant to the Tenant of the Additional Lease in accordance with the provisions of section 2 Law of Property (Miscellaneous Provisions) Act 1989.

10. **Exercise of the Pre-Emption Right**

10.1 Subject to clauses 10.3 and 10.4, if the Tenant wishes, in exercise of the Pre-Emption Right, to accept the Offer, the Tenant must sign and return the Offer Notice to the Landlord or the Landlord's Solicitors within the Acceptance Period stating whether the Tenant wishes to take the Additional Lease at the Open Market Price specified in the Offer Notice.

10.2 Time is of the essence for the Tenant's acceptance of the Offer Notice.

10.3 If the Tenant desires the Open Market Price stated in the Offer Notice to be determined by an independent expert under **clause 11** the Tenant shall serve written notice of such desire on the Landlord within 10 working days of the date of the Offer Notice and the provisions of **clause 11** shall apply.

10.4 If the Open Market Price is referred to an independent expert the expiry of the Acceptance Period shall be extended to the date 10 working days after the date upon which the independent expert's determination is delivered to the Tenant.

11. **Disputes over the Open Market Price**

11.1 Any dispute about the Open Market Price is to be determined by an independent expert who is to be a chartered surveyor of not less than ten years' standing who is experienced in valuation of property of the same type and in the same locality as the Property.

11.2 The independent expert is to be appointed by agreement between the Landlord and the Tenant but if they cannot reach an agreement, either of them may ask the President for the time being of the Royal Institution of Chartered Surveyors to nominate an expert and if he is unable or unwilling to do so, the next most senior officer may make the nomination.

11.3 The following provisions apply to the independent expert:

11.3.1 he is to act as an expert and not as an arbitrator;

11.3.2 he is to give the Landlord and the Tenant an opportunity to make written representations and to comment on each other's representations;

11.3.3 another expert may replace him if he dies, becomes unwilling or incapable of acting or it becomes apparent for any other reason that he will be unable to determine the matter referred to him within a reasonable time;

11.3.4 his decision is to be final and binding on the Landlord and the Tenant; and

11.3.5 his fees, including those of his appointment, are to be apportioned between the Landlord and the Tenant as the expert determines or, in the absence of a determination, they are to be shared equally between the Landlord and the Tenant.

12. **Service of Notices**

12.1 Any notice to be served on the Landlord is to be delivered by hand or sent by first class post, pre-paid or recorded delivery to the address of the Landlord set out above or to such other address which the Landlord may notify to the Tenant at any time as its address for service.

12.2 Any notice to be served on the Tenant is to be delivered by hand or sent by first class post, pre-paid or recorded delivery to the address of the Tenant set out above or to such other address which the Tenant may notify to the Landlord at any time as its address for service.

12.3 Service or acceptance by fax or e-mail is not permitted under this Agreement.

12.4 If a notice is received after 4.00 pm on a working day, or on a day which is not a working day, it is to be treated as having been received on the next working day.

12.5 Unless the time of actual receipt is proved, a Notice sent by the following means is to be treated as having been received:

12.5.1 if delivered by hand, at the time of delivery;

12.5.2 if sent by post, on the second working day after posting; or

12.5.3 if sent by fax, at the time of transmission.

13. **Assignment**

The Tenant (and any permitted assignee of this agreement) may assign the benefit of this agreement to an assignee of the Lease.

14. **Guarantor**

The Guarantor shall execute as guarantor any Additional Lease unless the Guarantor shall have ceased to be liable as Guarantor under the Lease at the date upon which the Additional Lease falls to be completed under this agreement.

## SCHEDULE

### Offer Notice

To: [The Tenant]

**Pre-Emption Agreement ("the Agreement") dated [DATE] made between (1) NAME OF LANDLORD ("the Landlord") and (2) NAME OF TENANT ("the Tenant") and (3) THE ALL ENGLAND LAWN TENNIS GROUND PLC relating to [ADDRESS OF PROPERTY] ("the Property")**

We, as Landlord, have made a decision to Dispose of the Property entitling you, as Tenant, to exercise the Pre-Emption Right under the Agreement (a copy of which is annexed).

This notice constitutes an Offer to grant an Additional Lease (as defined in the Agreement) of the Property to you at the Offer Price, capable of acceptance by you within twenty working days after the giving of this notice, and otherwise on the terms of the Agreement.

The terms of the Offer are:

1. The Open Market Price is £[AMOUNT IN FIGURES].

2. The Additional Lease is to be in the form of the draft annexed.

3. For the purposes of section 2 Law of Property (Miscellaneous Provisions) Act 1989, the terms of the Agreement are incorporated by reference in this Offer.

4. The words and expressions designated by initial capital letters which are not defined in this notice are defined in the Agreement and have the same meanings in this Offer.

To accept this Offer you must sign this letter and return it to us.

# SCHEDULE 7

# SIDE LETTER

lc1049583

Property Services & Security Division, HO-5

Telephone: 0207-601-4147
Facsimile: 0207-601 3944

BANK OF ENGLAND
Threadneedle Street
London
EC2R 8AH

The Lawn Tennis Association
Pallister Road
West Kensington
London W14 9EG

6th June 2003

Dear Sirs,

Bank of England Sports Centre Schedule of Community Usage 2003

I attach a document showing the existing level of community usage of the Roehampton facility. We have commercial deals in place with the various schools and the Priory but we do try to be flexible in the provision of one off support eg Sports Days. The key point is that this total level of support is delivered on weekdays during term time so it means that we can plan commercial and internal club sport activity around these times fairly easily.

To summarise, current arrangements on commercial terms provide approximately 3,550 hours of community usage for the year, by pre-arrangement and during weekdays, the majority during term time.

The Bank would not expect to be **obligated** to support the community beyond the levels shown or on terms other than commercial terms, and our preference is to demonstrate to the authorities that the existing arrangements suit all parties

Yours faithfully

K S Evans
Senior Manager, PSSD

## Weekday Community Usage

*Swimming Pool*

9.00am – 11.00am

2 hours x 5 days x approx 40 weeks = 400 hours

*Other Usage (pitches/sports hall/courts etc)*

Approx 60.5 hours per week x approx 40 weeks = 2420 hours
(varies from term to term)

## School Matches

*Various Sporting Matches – which include Netball, Cricket, Rugby, Football and Hockey*

All of the above run at different lengths of time. All schools run their term times at varying lengths so all will be approximated figures.

*Winter*

Approx 3 matches per week x 2 hours x approx 28 weeks = 168 hours

*Summer*

Approx 3 matches per week x 3 hours x approx 12 weeks = 108 hours

**THE COMMON SEAL** of
**THE GOVERNOR AND COMPANY**
**OF THE BANK OF ENGLAND**
was hereunto affixed in the presence of:

**EXECUTED** as a deed by
**LTA GROUND LIMITED**
acting by two directors:

Director

Director

Executed as a deed by
~~**THE COMMON SEAL** of~~
**THE ALL ENGLAND LAWN TENNIS**
**GROUND PLC** ~~was hereunto affixed~~
~~in the presence of:~~ acting by
two directors: